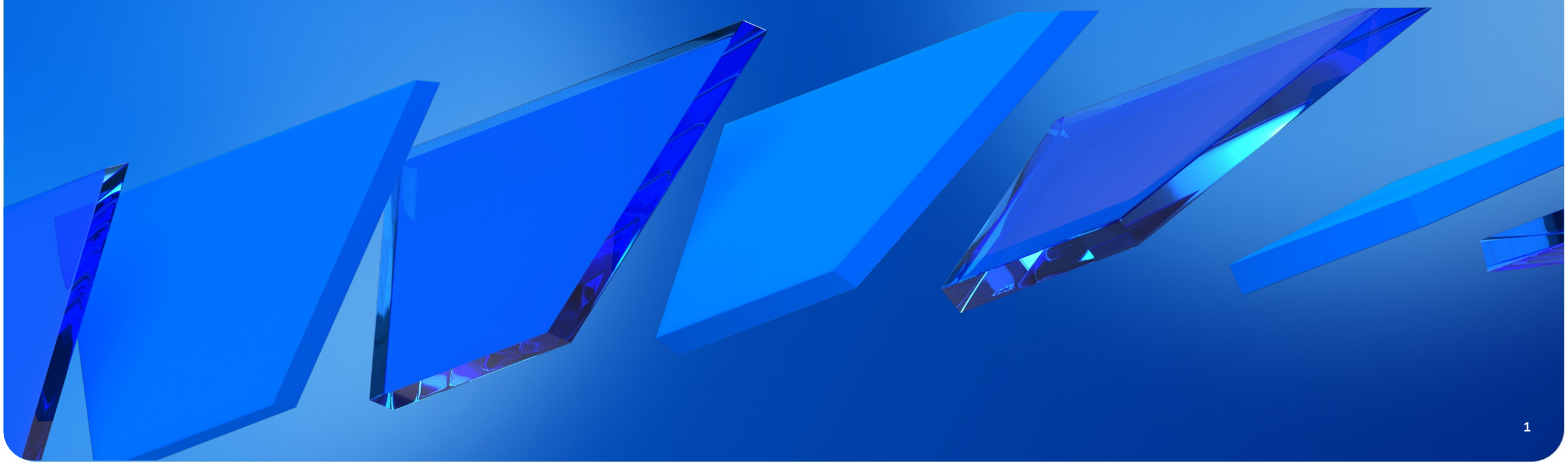
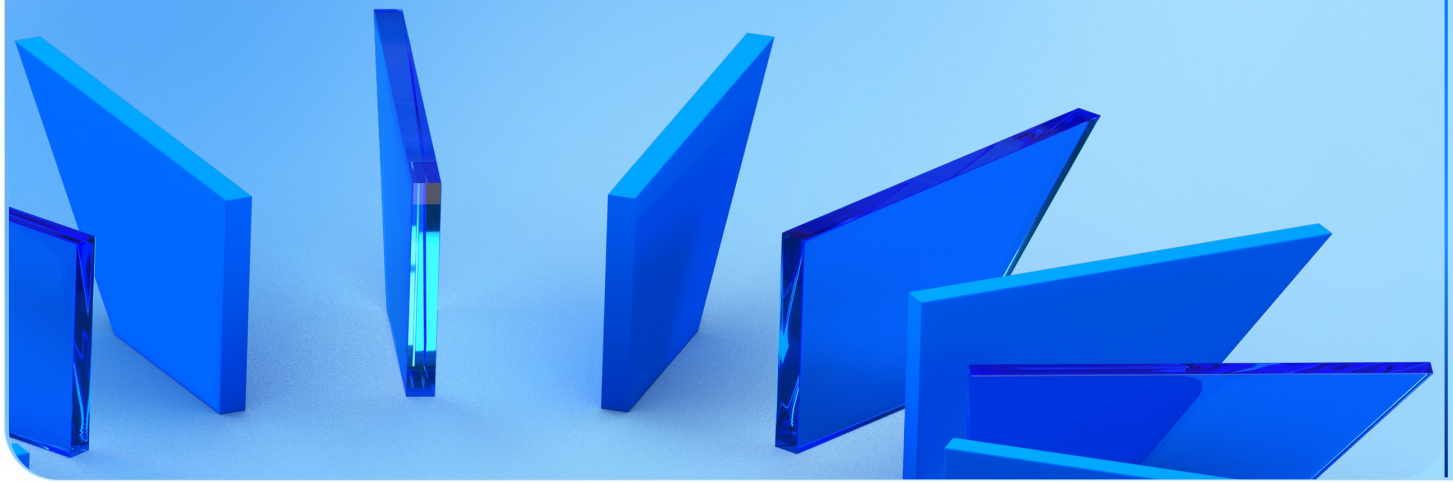
Q2 2026

AI Editorial Guide



← MAIN MENU

The SAP AI Editorial Guide is a quarterly briefing that analyzes the evolving AI landscape and its implications for SAP. It synthesizes key developments in technology, regulation, enterprise adoption, and competition, and translates those signals into a clear point of view on where SAP can and should lead. The guide equips marketing, communications, product, and field teams with context, insights, and resources to align their work with SAP's AI strategy and the broader AI conversation.

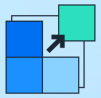


EACH QUARTER, THIS EDITORIAL GUIDE WILL COVER:

- **Quarterly AI "themes"**
  An overview of a few select, major forces shaping the AI landscape, defined and explored.
- **Emerging trends, signals, and perspective**
  A curated perspective on key developments across technology, regulation, investment, enterprise adoption, and competition.
- **Implications for SAP and its customers**
  How these shifts both influence and are influenced by SAP.
- **Key moments**
  How broader themes and key trends are manifesting at major industry events, SAP milestones, and other external moments.
- **Resources and proof points**
  Links and direction to relevant research, information, and stories – from SAP as well as external media sources - that teams can use to inform messaging and content.

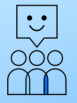
EXECUTIVE SUMMARY OF THEMES

MAIN MENU *(Click any button to navigate to that section)*



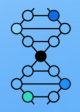
Future of enterprise applications & AI experiences

Enterprise software is undergoing a fundamental shift from navigation-based systems to intent-driven experiences powered by AI. Instead of moving through dashboards and menus, users express what they want to achieve and AI orchestrates actions across applications and workflows. **Competitive advantage will increasingly come from context, orchestration, and embedded intelligence, not simply the number of features in a software stack.**



Managing your agent universe

Enterprises are moving from experimenting with individual AI agents to managing ecosystems of agents operating across functions, applications, and workflows. The challenge is no longer building agents, but orchestrating, governing, and scaling them responsibly with shared context, visibility, and lifecycle management. **Successful organizations will treat agents like teams, requiring structure, oversight, business context, and clear accountability.**



Modernization made easy

AI is transforming enterprise modernization by shifting migration from a manual, rules-based process to an intelligent, context-aware one. AI-powered tools can analyze code, dependencies, and business processes to recommend migration paths, automate remediation, and reduce risk. **This allows organizations to modernize faster while preserving institutional knowledge embedded in legacy systems.**

De-risking innovation

As AI adoption moves from experimentation to enterprise-wide deployment, the core challenge becomes scaling innovation without increasing risk. Leading organizations are embedding governance, human oversight, and accountability directly into AI-enabled processes rather than treating them as afterthoughts. **The result is a model that allows companies to move quickly while maintaining trust, compliance, and operational control.**

Industry AI Innovation

Generic AI excels at rote tasks but struggles to deliver durable value inside complex, regulated, and highly specific industry environments. The strategic shift from generic to industry-specific AI reflects a broader realization: meaningful AI outcomes are less about intelligence in the abstract, and more about context, domain knowledge, and execution inside real operational systems. **Industry AI is positioned as the path from experimentation and pilots to production and real, measurable business results.**

Embodied AI

Embodied AI is moving from concept to deployment across industrial operations, and the most consequential shift isn't humanoid robots, it's the quieter, under-the-radar upgrades happening on factory floors and in physical infrastructure. **That reality means that safety, human oversight, and governance are foundational design requirements, making embodied AI one of the most scrutinized — and highest-potential — frontiers of enterprise automation.**

This quarterly Editorial Guide is a snapshot of the current world of AI and what matters most to SAP. It explores the forces and dynamics shaping the broader AI landscape, from cutting-edge technological breakthroughs and regulation to enterprise adoption and competitive shifts, setting context for how and why change is happening, and what we are doing about it here at SAP.

Each edition will be both analytical and directional, synthesizing signals into a point of view, articulating where we see opportunity and what responsible, enterprise-grade AI leadership requires now.

The goal is twofold: to inform and to connect, equipping marketing, communications, product, and field teams with a sharper understanding of the AI environment influencing our customers, while directing readers to relevant SAP resources that can strengthen their work.

This inaugural edition mirrors many of the themes SAP leadership will discuss at Sapphire, though future editions will follow the signals, wherever they lead.

Welcome to the future.

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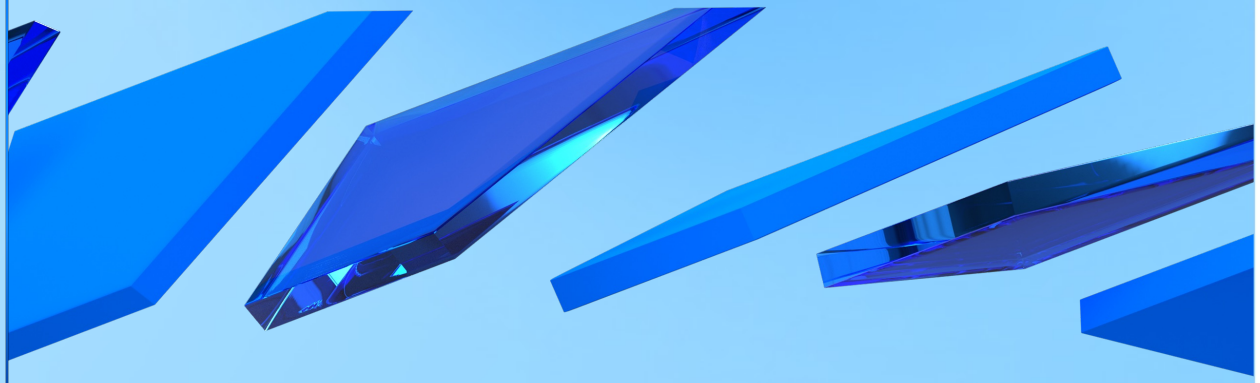


The Moment We're In

Enterprise AI is no longer a future-state conversation. It's here: reshaping how applications are built, how work is executed, and how organizations compete, right now.

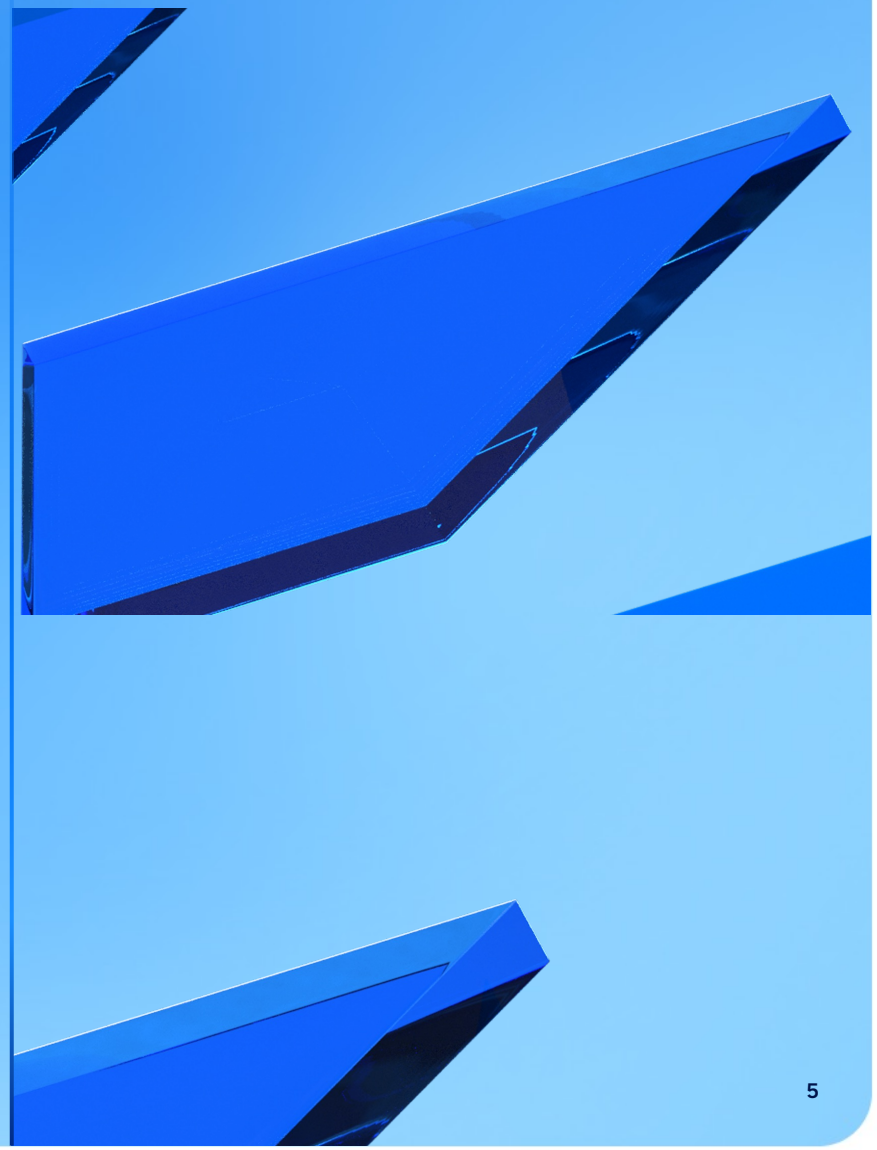
The shift is not incremental. We are moving from systems designed to record and structure work to systems designed to understand intent and drive outcomes. Intelligence is becoming the interface. Autonomy is becoming embedded. And governance is moving from policy to product.

And SAP sits at the center of this transformation. With the world's most comprehensive enterprise application suite and uniquely rich business data, SAP is positioned to deliver the Autonomous Enterprise by redefining how AI operates at scale, as embedded intelligence across workflows, industries, and functions.

The opportunity is not simply to layer AI onto enterprise systems, but to reimagine what's possible with the enterprise experience itself: from intent-driven interaction to agentic orchestration, from modernization to responsible innovation.

This guide explores the defining AI themes shaping the moment we - and the broader enterprise landscape – are in. These pages explore the future of applications and experiences, your agent universe, the rise of embodied AI, the modern migration process, how technology is de-risking innovation, and the industry-specific solutions that are setting the pace for future breakthroughs.

Together, they map the current moment in enterprise AI and outline SAP's role in shaping what comes next.



Q2 2026 Themes

The future of enterprise applications & AI experiences

Managing your agent universe

Modernization made easy

De-risking innovation

Industry AI innovations

Embodied AI

FUTURE OF ENTERPRISE APPS & AI EXPERIENCES

MANAGING YOUR AGENT UNIVERSE

MODERNIZATION MADE EASY

DE-RISKING INNOVATION

INDUSTRY AI INNOVATION

EMBODIED AI

AI isn't just changing what systems can do. It's completely changing how you interact with them, creating all-new expectations for user experiences.

THE FUTURE OF ENTERPRISE APPLICATIONS & AI EXPERIENCES

Software In The Future, AI As The New Experience

What it is:

A fundamental shift is underway in enterprise software. Vendors are racing to collapse the distance between intent and execution, redefining how work gets done.

For decades, enterprise applications functioned as systems of record — structured environments built on navigation, forms, and step-by-step processes. AI first appeared as a copilot: a helpful assistant layered onto the application, but still secondary to it. That model is changing.

The emerging paradigm is not a system of record accessed through prompts, but a system of context activated by intent. Instead of telling software how to complete a task, users express what they need, and the system orchestrates the rest.

This shift goes beyond convenience. A single prompt can now trigger actions that once required multiple screens, tools, and teams. The interface is becoming the experience of work itself, with generative AI evolving into the primary way work gets done.

This doesn't mean fewer applications. It means applications operating differently, serving as the intelligence infrastructure behind the scenes, providing context, governance, data integrity, and compliance while enabling more autonomous work..

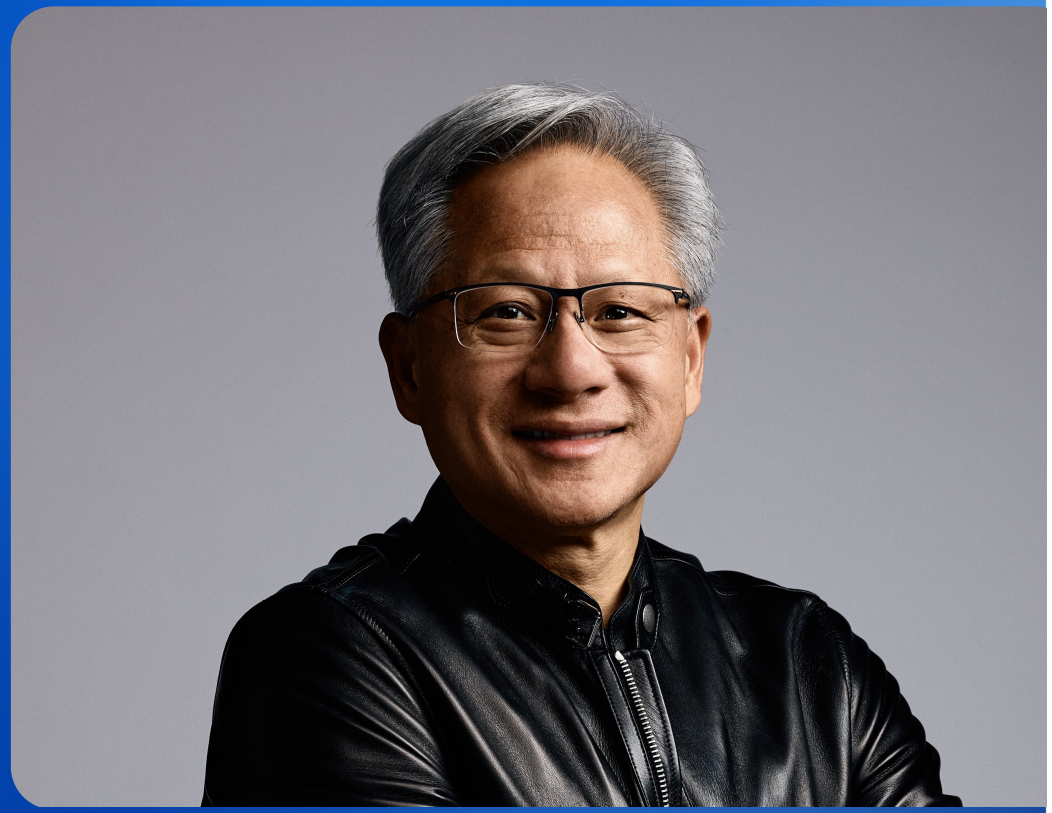
FAST FACTS:

- Enterprise AI is shifting from feature-level assistance to workflow-level execution activated through natural language and embedded across applications, not layered on top.
- The future enterprise experience won't be defined by dashboards and menus, but by intent-driven interactions that activate work across systems.
- The competitive advantage is no longer the number of features in your stack, but the quality of context and autonomy embedded within it.

“

For the very first time, technology is now able to do work... AI is no longer just an instrument for human use... rather, it is becoming an active operator and orchestrator of 'the work' itself, not only capable of predicting and generating, but also planning, acting, and learning.

- JENSEN HUANG, *CEO, NVIDIA*
NVIDIA GTC KEYNOTE 2026



THE FUTURE OF ENTERPRISE APPLICATIONS & AI EXPERIENCES

A few trends worth paying attention to

AI-Native Workspaces Are Replacing Application-Centric Interfaces

Enterprise software is shifting from screen-based navigation to AI-mediated interaction. Instead of moving between systems, users increasingly operate through a unified AI layer that retrieves, reasons across, and acts within multiple systems of record. GUIs remain for power users, but natural language and intent-based workflows are becoming the default operating surface.

Resources & More Information:

Andreessen Horowitz AI as the New UI

SAP The No App Future (Internal)

McKinsey & Co. The Economic Potential of Generative AI

Agents Are Moving From Automation to Orchestration

The shift is no longer from manual to automated tasks, it's from human-operated workflows to coordinated, multi-agent systems.

Agents increasingly trigger actions, collaborate across systems, and operate with bounded autonomy. The competitive differentiator isn't experimentation volume, but orchestration maturity.

Resources & More Information:

McKinsey & Co. The State of AI 2024

Gartner Top Strategic Technology Trends 2024 (Agentic AI coverage)

Stanford HAI Foundation Models & Agentic Systems Overview

Multi-Modal Interaction Is Becoming the Enterprise Standard

Voice, text, embedded copilots, APIs, and action-based workflows are converging into multi-modal enterprise interfaces. AI systems now operate across documents, dashboards, meetings, code, and operational systems, reducing learning curves and eliminating cross-functional friction.

Resources & More Information:

OpenAI GPT-4o Multimodal Announcement

Google Gemini 1.5 Overview

Microsoft Introducing Microsoft 365 Copilot

The "SaaS Is Dead" Narrative Is Creating a Competitive Moat

Contrary to the "AI will kill SaaS" narrative, systems of record are becoming more strategic, not less. Agentic workflows require structured, governed, high-integrity data foundations. Enterprises with deeply embedded workflows, domain models, and trusted data infrastructure are positioned to become the control planes for AI.

Resources & More Information:

Andreessen Horowitz AI and the Future of SaaS

SAP SaaS Is Not Dead: It's Mandatory (Internal)

McKinsey & Co. From Data to Value in AI Transformation

THE FUTURE OF ENTERPRISE APPLICATIONS & AI EXPERIENCES

What are we doing?

How SAP is reimagining application experiences:

SAP is redefining enterprise applications for an era where intelligence is embedded — not layered on. Rather than positioning AI as a feature, SAP is evolving applications into systems of execution that understand intent, orchestrate workflows, and drive outcomes across the enterprise.

Through the combination of the Joule Work, the Autonomous Suite, and the Business AI Platform, SAP enables intent-driven execution across business functions, and industry solutions. Users state what needs to be achieved, AI coordinates the processes, permissions, and data flows behind the scenes, collapsing the distance between insight and action.

At the core is SAP Business Data Cloud (BDC), unifying and governing business-critical data across systems. By grounding AI in trusted, real-time operational context, SAP ensures intelligence is accurate, explainable, and aligned to how the business runs.

This is the shift from interface-led productivity to intelligence-led execution. From dashboards to intent. From navigation to orchestration.

With SAP, enterprise applications become governed intelligence infrastructure — enabling autonomy at scale with transparency, control, and trust.

ADDITIONAL SAP RESOURCES:

Autonomous Enterprise L0 Presentation	The Beginning of Better | KEY100V
Joule L1 Presentation	Meet Joule: The future of work | KEY2681V
Joule MPF	The beginning of better decisions, made in motion | KEY2958V

← MAIN MENU

KEY INSIGHT:

The competitive moat for any business is no longer its software, but the 'intelligence' and 'autonomy' of its digital agents.

Microsoft

Articulating a future of human-led, agent-operated systems by positioning Copilot as the embedded AI layer across productivity and enterprise applications.

More info: (*Microsoft*, *Stratechery*)

salesforce

Driving toward the "agentic enterprise," targeting 1 billion AI agents by 2025 to autonomously execute across CRM workflows.

More info: (*Salesforce*, *TechCrunch*)

servicenow

Launching AI Experience (Aix) as a multimodal engagement layer that orchestrates enterprise workflows across functions.

More info: (*ServiceNow*, *CIO.com*)

workday

Positioning Sana as an enterprise AI experience platform that unifies knowledge, agents, and automation across Workday and beyond.

More info: (*Workday*, *VentureBeat*)

Palantir

Introducing a governed agentic layer that sits on top of traditional systems of record and drives operational execution.

More info: (*Palantir*, *Bloomberg*)

HOW WE STAND OUT:

Competitive promises are all similar: agents operating everywhere. Yet, without the end-to-end application infrastructure in place they must build agentic layers that sit on top of enterprise systems - limits their efficacy and reliability.

Joule Agents leverage the process knowledge, data context, and guardrails native to systems of record to deliver a level of trusted execution others can't match.

THE FUTURE OF ENTERPRISE APPLICATIONS & AI EXPERIENCES

Key talking points

When communicating about the future of enterprise applications & AI experiences, focus on the following:

Make it clear: our applications are the foundation of the Autonomous Enterprise

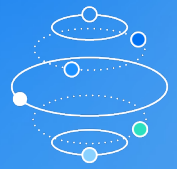
- Enterprise apps aren't being replaced, they power the most impactful autonomous experiences.
- The best agents pull from structured data, embedded process logic, and built-in governance.
- Our breadth and depth across finance, supply chain, HR, and operations create differentiation competitors can't easily replicate.

Champion assistants over agent sprawl

- Agents are proliferating, but without coordination, they create complexity.
- We champion role-based assistants that work like teammates, not tools you have to manually orchestrate.
- The future isn't a swarm of disconnected agents, it's structured human-AI collaboration.

Make Joule the simplest way to experience AI at SAP

- Customers don't want to manage dozens of agents across systems.
- Joule provides one unified experience to build, use, and govern AI across the SAP ecosystem.
- As the agent landscape expands, Joule keeps it simple for business users and manageable for IT.



Position intelligence as the new source of differentiation

- Features are table stakes, intelligence embedded in your systems is the differentiator.
- AI that understands enterprise context, permissions, and dependencies drives real outcomes.
- Execution speed, cross-functional coordination, and trusted autonomy are the new competitive moats.

MANAGING YOUR AGENT UNIVERSE

MODERNIZATION MADE EASY

DE-RISKING INNOVATION

INDUSTRY AI INNOVATION

EMBODIED AI

As more AI agents from more sources crop up across the business, coordination becomes the new challenge.

The enterprises that win will unify discovery, orchestration, governance, and lifecycle management into one intelligent control layer.

MANAGING YOUR AGENT UNIVERSE

The agent ecosystems of the future

What it is:
Enterprises are moving from experimenting with individual AI agents - programs designed to autonomously execute specific tasks - to operating an ever-growing ecosystem of agents that span across systems, processes, and roles.

"Agentic AI" is no longer focused on isolated task automation. It's about coordinating teams of agents that can reason, act, and adapt to align with larger business goals, governance requirements, and human accountability.

The challenge now is how to deploy, orchestrate, and govern agents at an enterprise-wide scale.

Successful agent orchestration requires a horizontal platform spanning multiple applications and business functions to give agents shared context, clear boundaries, and access to trusted data so that their impact and intelligence can scale with less risk and fragmentation.

FAST FACTS:

- Most enterprises will soon operate multiple AI agents – think "teams" of agents – per function, embedded across applications and workflows.
- Effective agent strategies require centralized visibility into which agents exist and what they do, agent lifecycle management controls that define autonomy and accountability, and a common data foundation to ensure agents act on trusted information.
- Agents without context automate tasks. Agents with context improve outcomes.
- Just like with humans, discipline is required for effective management of agents: clear roles, controlled access, continuous evaluation, and responsible retirement set you up for success.

“

When you think now about agentic AI, I mean all of these agents, they are great, but the agents need to be able to talk to each other, to run across end-to-end processes. At a certain date, I’m pretty sure we will have see all agents wanting businesses, processes end-to-end, and for that you need the data, you need to understand the business context and there is no need absolutely to put another layer on top of more agents, we can embed that right away in the businesses of our customer.

- CHRISTIAN KLEIN, *CEO*
STRATECHERY

MANAGING YOUR AGENT UNIVERSE

A few trends worth paying attention to

Agentic Platforms are Reshaping the Market

As agents proliferate across departments, enterprises are moving from isolated pilots to coordinated ecosystems. Vendors are responding with unified 'agentic platforms.' rather than specific skus These platforms centralize agent deployment, development, and visibility (e.g. authority, access, and autonomy thresholds) to create a clearer path to agentic value while avoiding duplication, shadow AI, and operational fragmentation.

Resources & More Information:

BCG How Agentic AI is Transforming Enterprise Platforms

NIST AI Risk Management Framework

MIT Sloan Governing AI at Scale

Agents Are Scaling From Assistance to Orchestration

Enterprises are shifting from copilots that assist individuals to multi-agent systems that coordinate cross-functional workflows. Autonomy now includes reasoning, task triggering, and collaboration across finance, HR, IT, and operations, requiring escalation logic and structured handoffs.

Resources & More Information:

OpenAI Introducing GPTs & Actions

Stanford HAI Agents and the Future of Work

SAP MCP and A2A protocol of agent orchestration and operability **(Internal)**

Governance and Lifecycle Management Are Critical

Governance can no longer be thought of as just a policy layer. It's critical infrastructure. Role-based access, auditability, explainability, and structured escalation paths must be embedded directly into orchestration frameworks. Governance maturity is becoming the gating factor for enterprise-wide rollout.

Resources & More Information:

Deloitte Trustworthy AI in Practice

World Economic Forum AI Governance Alliance

Context Is Becoming the Control Plane

Agents operating without shared enterprise context automate tasks in isolation. Agents grounded in unified operational data improve alignment with business logic and decision frameworks. The integrity of shared data layers now determines ecosystem effectiveness.

Resources & More Information:

Snowflake The AI Data Cloud

Databricks Lakehouse for AI

McKinsey From Data to Value in AI Transformation

What are we doing?

← MAIN MENU

SAP's agentic vision:

The SAP Business AI Platform provides a unified foundation for enterprises to build, contextualize & reason, and govern their agent universe with confidence.

Through Joule Studio, SAP enables the consistent creation and deployment of agents across the enterprise. Our AI Agent Hub then gives customers a single place to manage the lifecycle of 1st part, 3rd party, and custom agents. This means every agent has a shared understanding of business processes and data from day one, and can be centrally governed, secured and governance.

At the core of our approach is SAP Business Data Cloud (BDC), which provides the trusted business data foundation agents need to be effective.

By unifying and governing business-critical data, BDC, in combination with Knowledge Graph and Company Memory, enables agents to act within real operational context, and deliver effective outcomes aligned with how the business actually runs.

This allows customers to scale agentic capabilities responsibly, ensuring agents collaborate with humans, respect business constraints, and operate transparently across the enterprise.

ADDITIONAL SAP RESOURCES:

Business AI Platform L1 Presentation	The Business AI Platform for your future | KEY1753V
Joule Studio L2 Presentation	The enterprise path to agentic AI | BTP1454V
AI Agent Hub L2 Presentation	Take control of your AI agent universe with SAP AI Agent Hub | FOU1285V

COMPETITIVE MOTIONS

KEY INSIGHT:

The category leader must give customers one governed “command center” to see, orchestrate, and secure all their AI agents. The entire agent universe should feel coherent, safe, and strategically aligned rather than disparate and chaotic.

Microsoft

Standardizing domain agents on Azure, Microsoft Graph, and Entra identity rails — positioning Azure as the default control plane for enterprise agent management.

More info: (*Microsoft – 1, 2*)

salesforce

Turning Agentforce into an agent operating system and marketplace, anchored by the Agentforce Command Center and AgentExchange to design, monitor, and extend CRM-centric agents from one hub.

More info: (*Salesforce, VentureBeat*)

servicenow

Positioning AI Agent Fabric and Now Assist Orchestrator as the workflow brain that coordinates specialized agents across IT, HR, and operations with centralized governance and policy-driven handoffs.

More info: (*ServiceNow – 1, 2*)

workday.

Embedding HR and finance native agents directly into Workday’s unified data model and Workday Illuminate, delivering tightly governed domain autonomy within a single system of record.

More info: (*Workday – 1, 2*)

OpenAI

Expanding beyond foundation models into an agent platform with custom GPTs, Assistants API, and GPT Store, enabling organizations to build, deploy, and manage tool-integrated agents within OpenAI’s ecosystem.

More info: (*OpenAI – 1, 2*)

HOW WE STAND OUT:

Customer will undoubtedly be managing agents for a mix of providers in an ever-increasing number of business functions. Competitors are all promising the ability to centrally manage these agents across systems.

Only SAP grounds agents in organization’s most complex and business critical processes and data, this creates a more value-driving ‘center of gravity’ for the agent landscape from which customers can manage other SAP, custom, and non-SAP agents.

MANAGING YOUR AGENT UNIVERSE

Key talking points

When communicating about managing agents, focus on:

Make scale and orchestration the real story

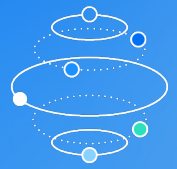
- Enterprises aren't just managing a handful of agents, they're running an ecosystem embedded across functions and systems.
- What works for pilots doesn't necessarily work at scale; orchestration becomes the strategic control layer.
- SAP doesn't monitor agents in isolation, it connects agents across processes.

Bring the AI lifecycle under one roof

- The unified Business AI Platform brings BTP, BDC, AI Foundation, and BTM together into one architecture.
- It streamlines the full lifecycle from building and running custom agents to managing and governing them at scale.
- Instead of stitching together tools, customers operate within a coherent AI foundation.

Make governance the competitive advantage

- Every vendor will sell agents, but none can make them as safe and manageable at scale as SAP.
- SAP's long-standing strengths in trust, governance, and security become even more critical in an agent-saturated world.
- Embedded guardrails, lifecycle oversight, and policy-aware orchestration tip the balance from experimentation to enterprise-grade autonomy.



Elevate agent lifecycle management to a strategic discipline

- Central "agent hubs" aren't enough anymore... enterprises need visibility into how agents interact across processes.
- SAP provides a big-picture view: mapping interdependencies, monitoring impact, and managing escalation paths.
- Sustainable autonomy requires more than dashboards: clear ownership, defined boundaries, and continuous refinement.

FUTURE OF ENTERPRISE APPS & AI EXPERIENCES

MANAGING YOUR AGENT UNIVERSE

MODERNIZATION MADE EASY

DE-RISKING INNOVATION

INDUSTRY AI INNOVATION

EMBODIED AI

The path to an Autonomous Enterprise runs through modernization. Successful organizations will turn migration into a strategic advantage, accelerating value while reducing risk and complexity.

MODERNIZATION MADE EASY

Enterprise migration with AI

What it is:
AI-enhanced migration tooling marks a fundamental shift in how enterprises modernize their technology landscapes.

Rather than relying on purely rules-based, manual, and risk-heavy approaches, AI enables migration teams to deploy systems that assist with analysis, recommendations, and automation. By learning across the full migration lifecycle, these tools create a faster, more precise, and more efficient process, from assessment and planning through execution and optimization.

Viewing migration as simply “moving data & code” is incomplete. Effective migration involves relocating:

- Business records and historical data
- Custom-built logic developed over decades
- End-to-end processes that power daily operations

Powered by advances in LLMs, process intelligence, and system telemetry, modern migration tools can interpret custom code, dependencies, governance models, data structures, and business workflows. They don’t just move assets, they translate intent and institutional knowledge across generations of systems and platforms.

As cloud adoption and ERP transformation accelerate, the upside is significant: shorter timelines, lower costs, reduced risk, and migrations that preserve rather than erode business value.

Migration is where decades of institutional knowledge reside. With AI involved, accuracy, transparency, and governance become mission-critical.

FAST FACTS:

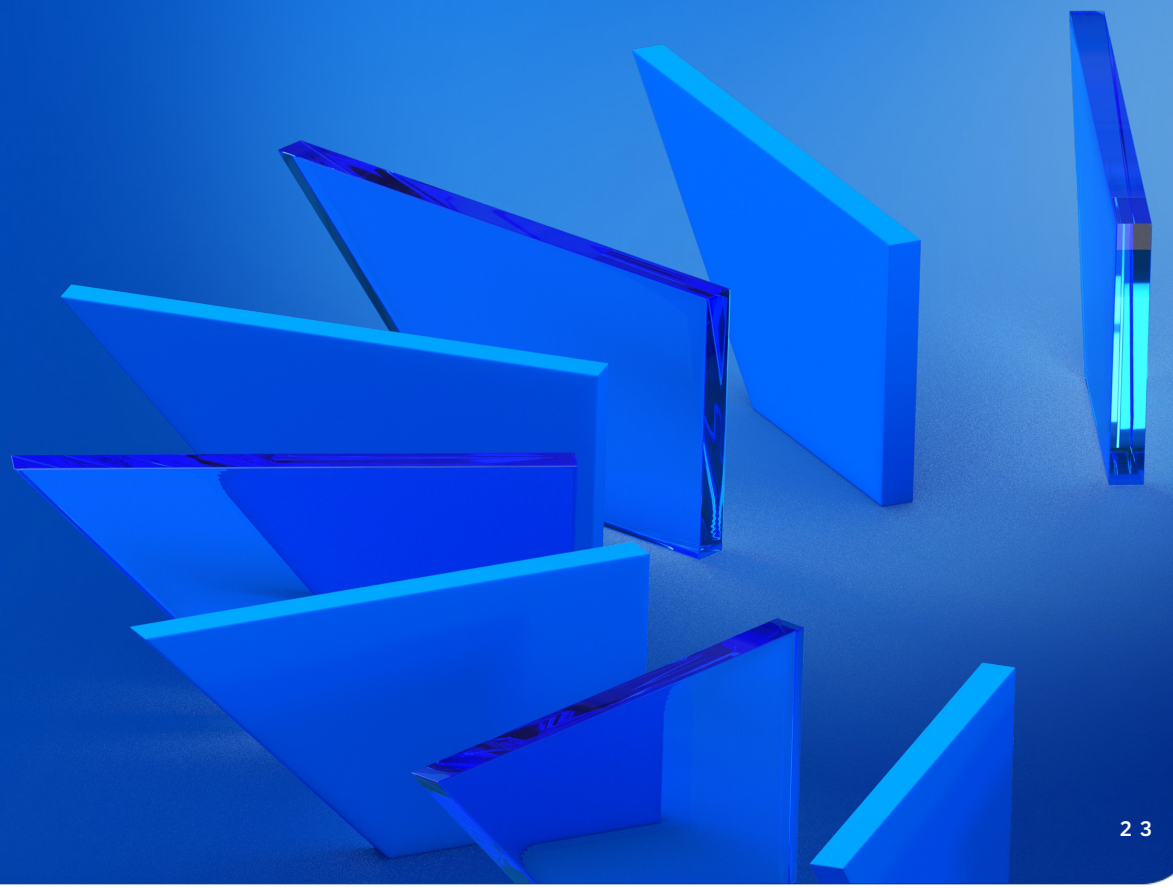
- Enterprise migrations remain one of the highest-cost, highest-risk IT initiatives, often running over budget and behind schedule.
- System and process inefficiencies are costing the average company 14% more in migration spend than planned each year, and 38% of companies have seen their migrations delayed by more than one quarter. — (McKinsey)
- Traditional migration tools focus on what to move, but AI-enhanced tooling focuses on how and why, using context from code, configuration, and usage patterns for a more efficient process.
- AI can automatically analyze custom code and recommend refactoring paths, identify unused or redundant processes before migration, generate migration sequences, test cases, and remediation plans .

“

The goal of a legacy-tech modernization effort should not be to convert as many lines of code as possible. It should be to improve systems and processes so the business can generate more value.

That means using gen AI to understand the code you already have, determine what’s needed to generate business value, and then modernize the processes that are necessary for achieving that outcome.

- **MCKINSEY & CO**
AI for IT Modernization



MODERNIZATION MADE EASY

A few trends worth paying attention to

AI-Native Assessment Is Replacing Static Discovery

AI-native tooling is interpreting legacy systems rather than cataloging them. Large language models can now analyze custom code, configuration dependencies, and usage telemetry, compressing months of manual discovery into days.

Resources & More Information:

Accenture Generative AI for Code Modernization

McKinsey Modernizing Core Systems

GitHub Copilot Enterprise

IBM Application Modernization with AI

Predictive Remediation Is Compressing Transformation Risk

AI is surfacing integration fragility, redundant customization, and performance bottlenecks earlier in the lifecycle. Modernization shifts from reactive issue resolution to predictive risk sequencing.

Resources & More Information:

Deloitte Cloud Migration Risk Insights

AWS Migration Acceleration Program

McKinsey Reducing Transformation Risk

Gartner Application Modernization Trends

Continuous Modernization Is Replacing Episodic Transformation

Cloud and ERP transitions were once milestone-based programs. AI introduces persistent observability across code quality, configuration drift, and performance telemetry. reframing modernization as an ongoing discipline.

Resources & More Information:

McKinsey Continuous Digital Transformation

Microsoft Azure Monitor + AI Observability

Technical Debt Is Becoming Quantifiable

AI-powered telemetry can now quantify unused code, workflow redundancy, integration complexity, and performance inefficiencies in real time. Modernization is increasingly framed as balance sheet management.

Resources & More Information:

Stripe The Developer Coefficient Report

McKinsey The Cost of Technical Debt

Gartner Measuring Technical Debt

IBM Cost of Technical Debt

MODERNIZATION MADE EASY

What are we doing?

We are augmenting the RISE with SAP journey with migration and modernization agents that fundamentally change the economics of ERP transformation.

These agent-led transformation takes on the most complex and time-intensive tasks that traditionally slow migrations and drive-up costs. Instead of relying on large teams to manually analyze legacy systems, remediate custom code, cleanse data, configure processes, and execute testing cycles, intelligent agents continuously analyze the legacy estate, including data models, customizations, and extensions,. and automatically design, configure, and test the new environment at scale.

This dramatically reduces the cost and duration of ERP transformation while easing the burden on already constrained IT teams. By automating analysis, remediation, and validation across the migration lifecycle, AI agents compress timelines, minimize risk, and free skilled resources to focus on strategic innovation—turning ERP migration from a multi-year, labor-intensive effort into a faster, more predictable path to a modern, AI-ready cloud ERP

ADDITIONAL SAP RESOURCES:

GROW L1	How SAP Joule for Consultants helps partners deliver faster | FOU2663V
RISE L1	Accelerate ERP transformation with the agent-led toolchain | BTM1289V
Cloud ERP Private L1	Reimagine transformation with migration and modernization assistants | ERP2493V

COMPETITIVE MOTIONS

Microsoft

Using Copilot, Azure Migrate, and Azure-native tooling to pitch AI-accelerated moves from legacy ERP into Dynamics 365 and Azure, emphasizing lower TCO and rapid innovation within its cloud ecosystem.

More info: (*CEO keynote*, *CNBC*)

salesforce

Leveraging Agentforce, Data Cloud, and Tableau migration as proof points to modernize CRM and analytics workloads during cloud transitions, positioning migration as an on-ramp to its AI-native stack.

More info: (*CEO keynote*, *Techcrunch*)

servicenow

Positioning the Now Platform and its AI "control tower" capabilities as a modernization engine that cleans up technical debt, standardizes workflows, and prepares environments for next-generation automation.

More info: (*CEO keynote*, *CIO.com*)

workday.

Advocating a born-SaaS, single-data-core ERP model through Workday Illuminate, arguing that moving HR and finance onto its continuously updated platform represents the "last migration" customers will need in those domains.

More info: (*CEO keynote*, *Fortune*)

ORACLE

Using OCI and Fusion Cloud to frame migration as a full-stack modernization, from database to ERP, into an integrated platform built to continuously deliver AI and automation.

More info: (*CEO keynote*, *Bloomberg*)

KEY INSIGHT:

The opportunity isn't just to migrate faster, it is to help organizations migrate smarter. The category leader will turn migration into a continuously AI-orchestrated process that is fast, safe, and self-improving in ways point competitors can't match.

HOW WE STAND OUT:

If competitors are framing modernization as an AI-enabled on-ramp into their cloud ecosystems, SAP must position RISE, GROW, and the Business AI Platform as a continuously intelligent modernization journey that delivers measurable AI value during migration, not just after it.

MODERNIZATION MADE EASY

Key talking points

When communicating about AI's role in modernizing migration„ focus on:

Make modernization the foundation of the AI future

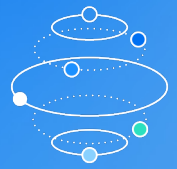
- Cloud migration and ERP modernization can't be the elephant in the room, efficiency and autonomy depends on it.
- Every vendor is selling agents; few are addressing how customers modernize their enterprise securely, quickly, and affordably.
- Credibility comes from being proactive and transparent about modernization, not avoiding it.

Deliver AI value during transformation, not after it

- AI value shouldn't be deferred until multi-year programs are complete.
- SAP embeds intelligence throughout the modernization journey, creating measurable wins at every stage.
- Customers accelerate transformation while realizing agentic efficiency along the way.

Put an AI-first lens on RISE and GROW

- This promise strengthens RISE and GROW journeys.
- It reframes modernization through an AI-first perspective providing faster insights, lowering risk, and creating clearer sequencing.
- The approach works for both large-scale enterprises and mid-market customers navigating different transformation realities.



Position AI as risk compression and confidence builder

- Modernization is historically defined by cost overruns and late-stage surprises.
- AI compresses risk by surfacing dependencies, redundant customizations, and sequencing challenges early.
- Governance, transparency, and lifecycle visibility give executives confidence to move forward.

FUTURE OF ENTERPRISE APPS & AI EXPERIENCES

MANAGING YOUR AGENT UNIVERSE

MODERNIZATION MADE EASY

DE-RISKING INNOVATION

INDUSTRY AI INNOVATION

EMBODIED AI

Innovation only scales when trust scales with it. The future belongs to organizations that design governance, accountability, and transparency directly into how AI operates.

DE-RISKING INNOVATION

Move faster without regrets

What it is:
As AI shifts from experimentation to a core part of enterprise operations, the central challenge leaders face isn't capability, it's how to scale AI across the organization without accumulating risk.

Enterprises increasingly recognize that the long-term cost of AI missteps extends beyond model accuracy. Risk now spans governance breakdowns, compliance exposure, uncontrolled costs, opaque decision-making, and most importantly, loss of trust both internally and with regulators.

In response, many organizations are gravitating toward trusted platforms and established partners that offer the controls required to operate AI responsibly. The appeal is not brand alone, but mature governance models, clear accountability, auditable systems, and the ability to evolve AI over time without constant re-architecture.

A pragmatic imperative is emerging: de-risk innovation. This approach focuses on modernizing core business processes, adopting AI agents, and exploring industry-specific use cases while preserving control, auditability, and human accountability.

Rather than positioning AI as a general-purpose layer applied across the enterprise, this model embeds AI directly into processes like finance, supply chain, HR, and industry operations with explicit human roles, governance, and decision boundaries designed from the outset.

This shift reflects the broader maturation of enterprise AI adoption. Organizations are no longer asking whether AI can automate tasks or create value. They are asking whether AI systems can be deployed in ways that are defensible, explainable, and reversible at scale.

FAST FACTS:

- As AI adoption grows, risk scales with proliferation, not experimentation.
- Leading enterprise AI implementations emphasize human oversight as a structural design choice, not a governance afterthought.
- Some common oversight patterns include:
  - Human-in-the-loop (HITL): humans review or approve AI outputs
  - Human-on-the-loop (HOTL): humans supervise AI flows via monitoring and alerts
  - Human-in-command (HIC): humans define policies, guardrails, and retain accountability

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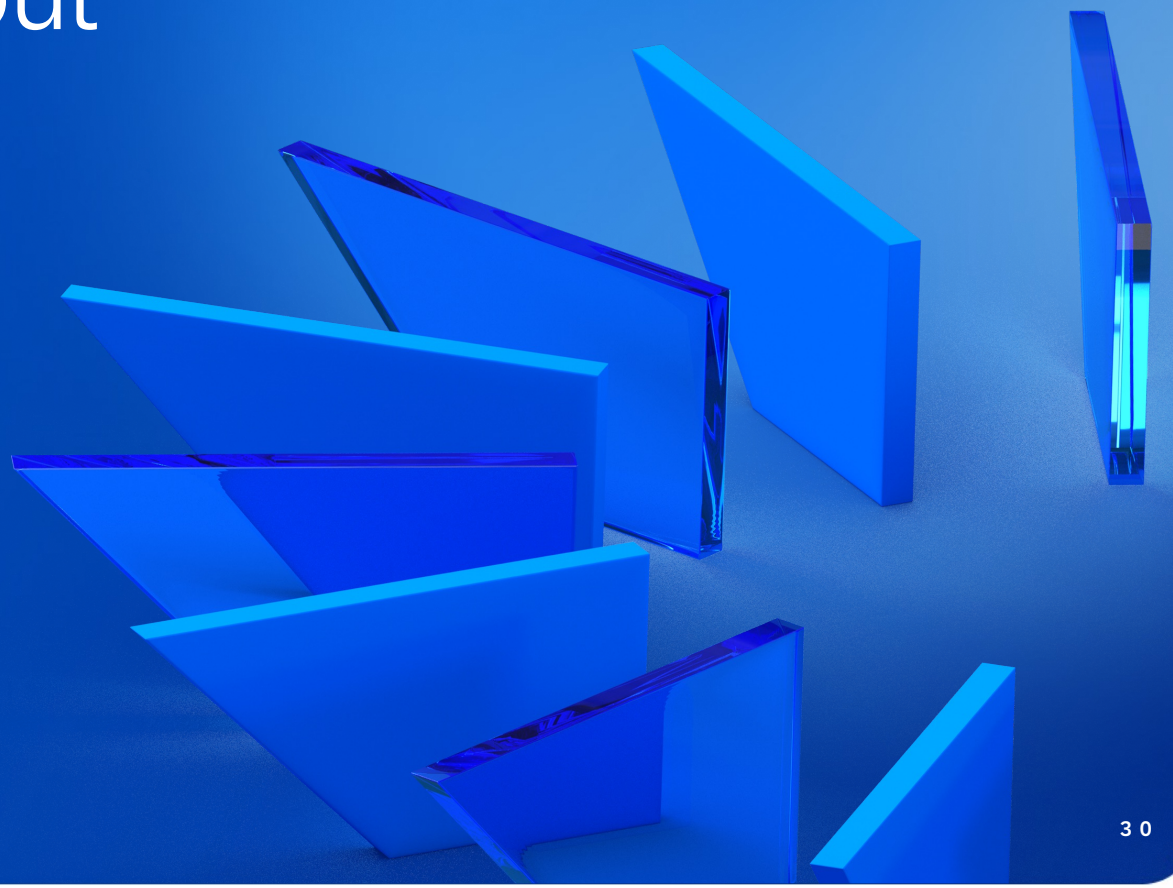
The biggest risk in AI is not moving too fast... it’s moving without governance.

- **GARTNER,** *AI GOVERNANCE RESEARCH*



DE-RISKING INNOVATION

A few trends worth paying attention to

Risk scales with fragmentation, not experimentation

AI pilots operate safely in isolation. Risk accelerates when multiple agents operate simultaneously across departments without unified oversight. Fragmented governance compounds exposure.

Resources & More Information:

KPMG Global Tech Report 2024

Gartner AI Risk & Governance Trends

World Economic Forum Global Risks Report

Oversight Patterns Are Becoming Formalized

Human-in-the-loop (HITL), human-on-the-loop (HOTL), and human-in-command (HIC) are becoming structural design frameworks rather than ad hoc controls.

Resources & More Information:

OECD AI Governance Principles

NIST AI RMF Playbook

Harvard Business Review Human Oversight in AI

MIT Sloan – Building AI Governance

Sovereignty and Regulatory Readiness Are Rising Priorities

Data lineage, explainability, and traceability are now regulatory expectations, not competitive differentiators. Enterprises embedding reversible workflows gain structural advantage in regulated industries.

Resources & More Information:

EU AI Act Overview

Financial Stability Board AI in Financial Services

Deloitte AI Regulation Outlook

IBM AI Governance & Compliance

Trust Is Becoming Measurable

Organizations are beginning to track AI transparency metrics, override rates, exception volumes, and bias indicators. Trust shifts from qualitative aspiration to quantifiable KPI.

Resources & More Information:

PwC Responsible AI Survey

IBM AI FactSheets

Stanford HAI AI Index Report 2024

Deloitte Measuring Trust in AI

DE-RISKING INNOVATION

What are we doing?

SAP is helping de-risk innovation:

We are designing AI to scale inside real enterprises, not just in controlled pilots.

That requires shifting focus away from isolated AI features and toward the systems needed to operate AI responsibly at scale. Instead of treating agents, copilots, and models as standalone capabilities, we organize them around precise business processes, shared governance, and common data foundations.

At the same time, we are investing in the infrastructure that allows AI to act with business relevance rather than abstraction. The goal is to make distributed AI safer, more coherent, and easier to trust.

In practice, this approach helps organizations move faster where it matters most, while reducing the likelihood that today's experimentation becomes tomorrow's risk.

To enable this, we are building mechanisms to:

- Coordinate and oversee multiple AI agents across applications
- Make AI activity visible, auditable, and explainable
- Define clear boundaries for autonomy, escalation, and human accountability

ADDITIONAL SAP RESOURCES:

Integration Suite	Accelerating time to value from AI concept to live deployment | FOU2656V
AI Services & Models	Scaling AI: Real-world strategies for enterprise-wide AI transformation | JOU2679V
CIAM	Beyond the warehouse: Data modernization for trusted AI governance | BDC2898V

KEY INSIGHT:

Make AI-driven change safer than the status quo. The category leader will win by turning de-risked innovation into a system where governance, human oversight, and sovereignty are designed into the experience from day one.

Microsoft

Using Copilot, Microsoft Purview, and Azure-native governance to argue that the safest way to scale AI is to standardize policy, security, and monitoring across the entire Microsoft cloud estate.

salesforce

Positioning Agentforce, Data Cloud, and its Trust Layer as a governed, auditable AI foundation embedded directly into customer and revenue workflows.

servicenow

Leveraging the Now Platform and its integrated GRC capabilities to automate governance, risk, and compliance processes, surface issues early, and enforce policy across workflows.

workday.

Leaning into a HITL philosophy through Workday Illuminate and its unified data core, arguing that keeping people in control of high-stakes HR and finance decisions is the safest pattern for AI adoption.

HOW WE STAND OUT:

If competitors are embedding governance into their platforms as a safety advantage, SAP can lean on 50+ years of proven expertise in enterprise-grade trust, governance, and human accountability. This is made real through the Business AI Platform, positioning embedded guardrails across end-to-end enterprise processes as the reason AI adoption is safer inside SAP than outside it.

DE-RISKING INNOVATION

Key talking points

When communicating about AI's role in de-risking innovation, focus on:

Reframe risk as structural, not technical

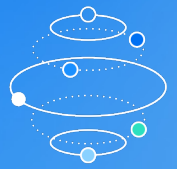
- As AI moves into core operations, risk shifts from model accuracy to systemic exposure like governance gaps, uncontrolled agent sprawl, and opaque decision paths.
- The challenge is embedding AI into live business processes without compromising accountability, transparency, or control.
- Durable innovation depends on architectural safeguards designed in from day one, not as post-incident response.

Position governance a shared business capability

- Governance is no longer an IT-only function; every business unit must own how AI operates within its processes and policies.
- Responsible AI requires structured autonomy levels, role-based permissions, traceable decision logic, and reversible workflows embedded directly into systems.
- When governance is operationalized across the enterprise, AI works more effectively, accelerates development cycles, and lowers total cost of deployment.

Embed human accountability directly into system design

- Human-in-the-loop (HITL) and human-in-command (HIC) are structural design choices that define how autonomy scales safely.
- As agents initiate actions and influence business-critical decisions, organizations must define escalation paths, approval thresholds, and ownership models in advance.
- Clarity about who is responsible when AI acts becomes foundational to enterprise trust.



Position AI as Risk Compression and Confidence Builder

- Explainability, auditability, and visibility into AI activity are now executive- and board-level concerns.
- Enterprises must be able to demonstrate how decisions were generated, how policies were applied, and how risks were mitigated.
- De-risked innovation strengthens regulatory confidence, protects brand integrity, and builds measurable enterprise credibility.

FUTURE OF ENTERPRISE APPS & AI EXPERIENCES

MANAGING YOUR AGENT UNIVERSE

MODERNIZATION MADE EASY

DE-RISKING INNOVATION

INDUSTRY AI INNOVATION

EMBODIED AI

Industry context is becoming the true source of AI advantage. The next wave of value will be created by systems fluent in the processes, data structures, and KPIs that define each sector.

INDUSTRY AI INNOVATIONS

From generic intelligence to industry-specific impact

What it is:
As AI adoption matures in enterprises, a clear distinction is emerging between “generic” AI and “Industry” AI.

Generic AI excels at rote tasks like summarization, search, and drafting, but often struggles to deliver durable value inside complex, regulated, and highly specific industry environments. Industry AI, by contrast, is designed to deliver value within the specific realities of a given sector: operating within its processes, and navigating its data structures, constraints, performance metrics, and regulatory logic.

In SAP’s context, Industry AI refers to pre-built, data-aware AI capabilities embedded directly into end-to-end business processes for specific industries.

Some examples include manufacturing, retail, utilities, energy, public sector, and higher education.

These capabilities are grounded in SAP’s industry-specific models, semantic data structures, and industry cloud solutions, ensuring AI operates natively within sector workflows rather than as a generic assistant sitting on top of them.

The strategic shift from generic to industry-specific AI reflects a broader realization: meaningful AI outcomes are less about intelligence in the abstract, and more about context, domain knowledge, and execution inside real operational systems. Industry AI is positioned as the path from experimentation and pilots to production and real, measurable business results.

FAST FACTS:

- Industry AI builds on Business AI embedded in core applications, extending it with vertical-specific content, models, and workflows.
- SAP has highlighted 100+ AI use cases, many aligned to industry-specific processes such as:
  - Demand forecasting and inventory optimization
  - Intelligent invoice matching and cash application
  - Workforce planning and scheduling
- A key distinction for enterprises is whether an AI use case is:
  - Productized and embedded in applications
  - Delivered via platform services
  - Or dependent on partner or customer-specific build

“

Business AI only delivers real value when it understands the context of the business process and the industry in which it operates.

- **MUHAMMAD ALAM**, *MEMBER OF SAP EXEC BOARD*

INDUSTRY AI INNOVATIONS

A few trends worth paying attention to

Vertical AI Is Outperforming Horizontal AI

General-purpose AI platforms are giving way to industry-specialized models trained on domain-specific data, workflows, and regulatory constraints. In healthcare, finance, manufacturing, and energy, competitive advantage increasingly depends on context-rich AI tuned to industry nuance rather than generic LLM capability. The shift is from scale alone to domain depth.

Resources & More Information

Bessemer Venture Partners The Rise of Vertical AI

Sequoia Capital Generative AI's Verticalization Moment

CB Insights The State of AI 2024 Report

Digital Twins Are Becoming Operational Infrastructure

Digital twins are evolving from simulation tools to real-time operational mirrors of factories, supply chains, cities, and infrastructure. By integrating IoT data, AI forecasting, and physics-based modeling, organizations are using twins not only to monitor systems but to optimize them continuously. The result is predictive operations rather than reactive management.

Resources & More Information

World Economic Forum Digital Twins for the Built Environment

Siemens Industrial Digital Twin Overview

MIT Technology Review The Promise of Digital Twins

Gartner Digital Twin Market Forecast

Process Context Is Becoming the Competitive Moat

Generative capability is becoming table stakes. Sustainable advantage comes from embedding AI into proprietary workflows, operational KPIs, and domain logic. Precision and trust now depend on contextual grounding, not model size or power.

Resources & More Information

Harvard Business Review Competing in the Age of AI

Bain & Company Winning with AI Requires Operational Integration

MIT Sloan Management Review – Putting AI to Work

Regulatory Pressure Is Accelerating Domain-Aware AI

In regulated industries, AI systems must be engineered for auditability, explainability, and human override. Compliance requirements are increasingly shaping architecture decisions from data residency to model governance. Defensibility is becoming a prerequisite for deployment.

Resources & More Information

U.S. Department of the Treasury Managing AI-Specific Cybersecurity Risks in the Financial Sector (2024)

European Central Bank AI and Machine Learning in Financial Supervision

World Economic Forum Industries in the Intelligent Age: Governance and AI

INDUSTRY AI INNOVATIONS

What are we doing?

SAP is building industry-specific solutions:

We are translating process depth into practical AI by embedding trained, industry-specific intelligence directly into the systems where work happens.

Rather than treating Industry AI as a standalone layer, we are integrating it into end-to-end workflows across finance, supply chain, HR, and industry solutions, informed by the data models, process templates, and compliance requirements that already exist in those domains.

At the same time, we are providing a platform foundation that allows customers and partners to extend this industry intelligence where standard content ends. Through SAP BTP and AI services, organizations can combine SAP's models, external foundation models, and their own proprietary data to create custom Industry AI for their context, while staying within a governed, auditable enterprise environment.

The intent is to strike a balance: standardized intelligence where it accelerates adoption, and extensibility where differentiation matters.

ADDITIONAL SAP RESOURCES:

Autonomous Asset Management	Autonomous Regulated Manufacturing
Autonomous Commodity Management	Autonomous Revenue Growth Management
Autonomous Adaptive Production	Autonomous Unified Commerce
Autonomous Project Delivery	From AI to business outcomes: How SAP Cloud ERP delivers real value | ERP2455V

← MAIN MENU

Microsoft

Leveraging Copilot, Azure Industry Clouds, and its industry data models to embed AI into manufacturing, financial services, retail, and public sector workflows with Azure as the backbone.

KEY INSIGHT:

Turn industry context into the real moat. The category leader will win by making AI that is natively fluent in each industry's processes, data structures, and KPIs, not "skinned" or "branded" vertical versions of generic copilots.

salesforce

Using Agentforce for Industries, Data Cloud, and Industry Clouds to ship prebuilt agentic skills grounded in unified industry data and thousands of sector-specific process templates.

servicenow

Positioning the Now Platform, AI Agent Studio, and AI Control Tower as an "AI operating system" for cross-industry workflows, orchestrating domain-specific agents across IT, operations, and compliance.

workday

Extending its trusted HR and finance core through Workday Illuminate, embedding AI into a unified data model with industry-specific enhancements and responsible, human-in-the-loop controls.

HOW WE STAND OUT:

Where competitors deliver industry solutions for specific business functions, SAP excels in connecting multiple autonomous domains across industry-specific processes - resulting in seamless, end-to-end execution across an industry domain.

That means that organizations can spend less time on complex integrations and customizations and realize autonomous impact more quickly.

INDUSTRY AI INNOVATIONS

Key talking points

When communicating about industry AI innovations, focus on:

Emphasize that Industry AI is embedded into process DNA

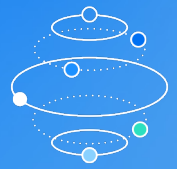
- Generic AI operates at the surface: summarizing, drafting, and recommending.
- Industry AI operates at the decision layer of procurement, production planning, regulatory reporting, workforce scheduling, and financial close.
- The advantage is not raw intelligence, but contextual fluency in sequencing rules, KPIs, compliance frameworks, and operational constraints.

Anchor value in measurable vertical outcomes

- In regulated and performance-sensitive industries, durable value shows up in forecast accuracy, working capital efficiency, asset utilization, service levels, and compliance adherence.
- Measurable ROI comes from embedding AI into real workflows.
- The shift from experimentation to enterprise scale depends on vertical depth that directly moves core business metrics.

Highlight contextual precision as the differentiator

- Industry AI succeeds when grounded in structured enterprise context like master data, process templates, industry KPIs, and regulatory logic.
- Without that context, AI remains assistive. With it, AI becomes an executor of domain logic.
- Contextual grounding reduces risk, increases precision, and accelerates operational execution.



Position extensibility within governance as the winning balance

- Prebuilt industry models accelerate adoption, but enterprises require extensibility for proprietary logic and differentiated operations.
- The future blends standardized vertical intelligence with controlled customization inside shared governance frameworks.
- Scalable Industry AI combines repeatable best practices with the flexibility to adapt responsibly.

FUTURE OF ENTERPRISE APPS & AI EXPERIENCES

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INDUSTRY AI INNOVATION

EMBODIED AI

Industry context is becoming the true source of AI advantage. The next wave of value will be created by systems fluent in the processes, data structures, and KPIs that define each sector.

EMBODIED AI & FUTURE TECHNOLOGIES

A new era of automation & physical intelligence

What it is:
Embodied AI refers to artificial intelligence systems that can perceive, decide, and act in the physical world, through robots, machines, and intelligent equipment.

While public attention often gravitates toward humanoid robots and dramatic demonstrations, the more immediate shift is happening in everyday industrial environments. Here, embodied AI is augmenting traditional automation with perception, learning, and adaptability, allowing machines to operate in dynamic, real-world conditions rather than tightly scripted cells.

Where classic industrial robots follow rigid, preprogrammed paths, embodied AI systems combine sensors, edge computing, and advanced models to recognize variation, adjust plans in real time, and generalize from experience. This enables a form of "automation plus": physical systems that are still controlled and predictable, but far more flexible and resilient than earlier generations.

This evolution mirrors the trajectory of software AI in the shift from deterministic rules to systems that learn from context. The difference is that embodied AI operates where mistakes have physical consequences. That reality elevates safety, control, and governance as core design requirements. In many early deployments, embodied AI is applied to hazardous or physically demanding work, reducing human exposure to risk while maintaining clear human oversight and accountability.

FAST FACTS:

- Embodied AI extends core business processes into manufacturing, logistics, and warehouse operations (e.g., SAP Project Embodied AI).
- Early pilots show measurable impact (up to 50% reductions in unplanned downtime and ~25% productivity gains) shifting focus from AI capability to operational KPIs like throughput, OTIF, and OEE.
- The architectural shift is from isolated robotics cells to robots treated as extensions of core business systems—coordinated, monitored, and optimized like any other enterprise asset.

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The real opportunity is not just to apply AI to digital workflows, but to connect intelligence to real-world operations where data, decisions, and physical execution converge.

- **THOMAS SAUERESSIG**, *MEMBER OF SAP EXEC BOARD*

EMBODIED AI

A few trends worth paying attention to

Industrial AI Is Shifting From Isolated Cells to Enterprise Integration

Robotic “islands” are giving way to integrated systems embedded across supply chain, asset management, and service workflows. Physical automation is becoming part of end-to-end enterprise execution rather than siloed pilot projects.

Resources & More Information

McKinsey Automation in Logistics: Big Opportunity, Bigger Uncertainty

Boston Consulting Group AI in Industrial Operations

Rockwell Automation Smart Manufacturing Report

Uptime and Throughput Are Becoming AI’s Proving Ground

Early enterprise wins in embodied AI are operational: reduced downtime, improved OEE, predictive maintenance, and faster inspection cycles. In the physical world, AI credibility is earned through measurable KPI impact — not conceptual performance benchmarks.

Resources & More Information

Deloitte Predictive Maintenance and the Smart Factory

PwC Industrial Manufacturing and AI

GE Digital Predictive Asset Performance

International Society of Automation AI in Industrial Automation

Human–Robot Collaboration Is Replacing Full Autonomy Narratives

Rather than pursuing unsupervised autonomy, enterprises are deploying supervised automation models where AI detects events, recommends actions, and triggers workflows while humans retain oversight. This hybrid model reduces risk while scaling capability in high-stakes environments.

Resources & More Information

MIT CSAIL Human-Robot Collaboration Research

ABB Collaborative Robotics Overview

Stanford Robotics Lab Human-in-the-Loop Robotics

Operational Telemetry Is Becoming the New Enterprise Data Frontier

Sensors, edge systems, robotics logs, and environmental telemetry are feeding AI systems in real time. Enterprises that unify operational data with ERP and supply chain systems create closed feedback loops that continuously optimize physical performance within business guardrails.

Resources & More Information

Amazon Web Services Edge Computing & IoT for Industry

Siemens Industrial Edge Platform

Gartner Edge AI Market Forecast

EMBODIED AI & FUTURE TECHNOLOGIES

What are we doing?

SAP is helping partners build the future:

We are not building robots. We position embodied AI as the intelligence layer connecting physical machines to enterprise systems.

Our role is to provide business context by linking robots to enterprise data, process models, and AI services so physical actions follow the same logic that governs finance, supply chain, and asset management.

This is ecosystem-led. Hardware makers and integrators deploy the machines; we serve as the coordination layer tying them to the system of record so tasks, execution, and outcomes stay aligned with core workflows.

Embodied agents are treated like any other enterprise agent. Through the same natural-language interface, users can orchestrate warehouse and inspection robots within existing processes.

Initial deployments focus on intralogistics and asset inspection, where AI-enabled robotics can improve uptime, safety, and accuracy. The approach is deliberate: validate, standardize, then scale, evolving automation into a more adaptive, enterprise-controlled generation of industrial systems.

ADDITIONAL SAP RESOURCES:

Embodied AI Reference Architecture	Build with partners: End-to-end delivery of embodied AI | JOU2677
Martur Fompak Customer Success Story	Embodied AI in action: Early customer insights | JOU2678
Embodied AI: How enterprises are scaling physical AI with SAP | JOU2676	From sight to safety: Using AI, robotics, and real-time EHS | SUS2382

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Key Partnership Announcements

SAP consistently serves as the enterprise intelligence layer for embodied AI, connecting simulation, automation, and robotics back to real-time business processes.

In each case, SAP ensures that physical AI systems operate within the context of enterprise truth, aligning robotic action with supply chain reality, financial impact, and operational strategy.

NVIDIA

AI + Simulation + Digital Twins for Robotics

SAP and NVIDIA are integrating enterprise application data with advanced simulation and AI infrastructure to power industrial digital twins. The partnership connects SAP's operational systems to NVIDIA's AI and Omniverse platforms to optimize physical operations before they occur in the real world.

Key Areas of Collaboration

- SAP supply chain, manufacturing, and asset data feeding NVIDIA-powered digital twins and simulation environments.
- AI models testing and optimizing robotic workflows using real enterprise constraints like inventory, demand, and capacity.

What This Means for SAP

SAP becomes the trusted enterprise data backbone for embodied AI, ensuring robotics and physical AI systems are trained on real operational intelligence.

SIEMENS

Industrial Automation + ERP Integration

SAP and Siemens are connecting enterprise planning systems with industrial automation to create closed-loop manufacturing environments. The integration links SAP ERP with shop-floor robotics and automation technologies.

Key Areas of Collaboration

- Integration between SAP S/4HANA Manufacturing and Siemens automation and MES systems.
- Real-time feedback between production execution, robotic systems, and enterprise planning for predictive maintenance and optimization.

What This Means for SAP

SAP becomes the orchestration layer between enterprise planning and physical execution, aligning robotic automation with financial and operational objectives.

EMBODIED AI

Key talking points

When communicating about embodied AI and future technologies, focus on:

Frame embodied AI as enterprise intelligence extended into the physical world

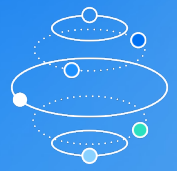
- Embodied AI is not about humanoid robots, it's about extending enterprise-grade intelligence into machines, devices, warehouses, and industrial environments.
- Plans, SLAs, safety thresholds, maintenance schedules, and KPIs defined in core systems must translate into coordinated physical action.
- The breakthrough is governed orchestration between digital intent and physical execution, not futuristic, science fiction-like hardware.

Emphasize the control plane over the hardware

- Robots, edge devices, and autonomous systems will always be heterogeneous.
- The strategic advantage lies in the coordination layer that binds these systems to enterprise data, policies, and workflows.
- Winning architectures treat robots like any other enterprise asset -- monitored, optimized, and governed through core systems.

Elevate safety, traceability, and compliance as design requirements

- When AI decisions affect physical systems, the cost of error shifts from inconvenience to operational and safety risk.
- Embodied AI must be auditable, policy-aware, and supervised, with clear records of why actions were triggered and how they were executed.
- Governance must extend beyond model outputs to measurable physical consequences like uptime, throughput, cost, and safety.



Position extensibility within governance as the winning balance

- Before deploying AI into live industrial environments, enterprises must model and simulate operational impact.
- Digital twins enable scenario testing across workload variability, capacity constraints, and safety thresholds.
- Embodied AI moves from rigid scripting to adaptive, scenario-tested orchestration grounded in enterprise context.

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AI Editorial Guide

Thank for reading!

For more resources visit our AI Sharepoint page

For questions or suggestions for future editions, please reach out to:

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